NIGERIA CUSTOMS SERVICE
ELECTRONIC ADVANCE RULING MANUAL

OCTOBER 2024

VERSION 1.0

1.0 Introduction

The **Electronic Advance Ruling (e-AR) Manual** is a comprehensive guide for stakeholders seeking clarity and legal certainty in their international trade activities through the electronic advance ruling process. The manual outlines the procedures, requirements, and benefits of obtaining advance rulings via an online platform, enabling importers, exporters, and their representatives to receive binding decisions on the classification, origin, or valuation of goods before they enter the market.

The transition to an electronic system simplifies and accelerates the advance ruling process, allowing for quicker decision-making, improved transparency, and seamless interaction between traders and customs authorities. By reducing processing time and minimizing paperwork, the e-AR system fosters trade facilitation, reduces the risk of disputes, and enhances compliance with customs regulations.

This manual provides detailed instructions on how to navigate the e-AR platform, submit applications, track progress, and manage rulings. It also covers the legal framework, review and appeals processes, and the obligations of both the applicant and customs authorities. Through this manual, stakeholders can efficiently access the benefits of the electronic advance ruling system, ensuring smoother, more predictable trade transactions.

1.1 Overview of the e-AR system and its significance in modern customs

The **e-AR** system is a transformative digital tool designed to enhance the efficiency, transparency, and predictability of customs operations in international trade. It allows traders, importers, exporters, and other stakeholders to apply online for advance rulings on essential customs matters such as the **classification**, **origin**, or **valuation** of goods. By receiving legally binding decisions before goods are imported or exported, the e-AR system reduces uncertainty and ensures that customs procedures are more predictable and easier to navigate.

1.2 Key Features of the e-AR System

(i) **Digital Platform for Submission**: The e-AR system is fully online, allowing users to submit applications for advance rulings electronically, minimizing the need for physical documentation and in-person interactions.

(ii) **Real-time Application Tracking**: Traders can track the status of their applications in real-time, ensuring transparency and keeping them informed of every stage of the decision-making process.

(iii) **Faster Response Times**: The digital nature of the e-AR system reduces administrative delays, enabling quicker processing and issuance of advance rulings compared to traditional paper-based systems.

(iv) **Consistency in Decisions**: The e-AR system promotes uniformity in customs decisions, as it provides a centralized platform for the evaluation of applications, reducing discrepancies and improving decision-making consistency.

1.3 Significance in Modern Customs Processes

(i) **Trade Facilitation and Predictability**: The e-AR system plays a critical role in facilitating trade by providing businesses with certainty about the customs treatment of their goods before they reach borders. By clarifying customs requirements in advance, traders can plan and budget more effectively, reducing unexpected costs and delays at ports of entry.

(ii) **Efficiency and Cost Savings**: Traditional advance ruling systems often require physical submission of applications, leading to delays and increased administrative costs. The e-AR system streamlines this process, reducing paperwork, speeding up decision-making, and saving both time and resources for traders and customs authorities. The use of digital platforms also reduces the potential for errors in applications, further enhancing efficiency.

(iii) **Enhanced Compliance**: Through the e-AR system, traders gain access to clear guidance on the classification, origin, or valuation of goods, ensuring compliance with customs regulations. This helps businesses avoid penalties, disputes, and delays at the border, as customs rulings are applied consistently during the clearance process.

(iv) **Transparency and Accountability**: The real-time tracking feature of the e-AR system enhances transparency, allowing applicants to monitor the status of their submissions and understand how their cases are being processed. This level of transparency helps build trust between traders and customs authorities, making the process more accountable and less prone to corruption or favoritism.

(v) **Alignment with Global Standards**: The e-AR system aligns with international trade facilitation standards, such as those set by the **World Trade Organization (WTO) Trade Facilitation Agreement**. Many countries are adopting similar systems to streamline customs procedures and foster smoother cross-border trade. Nigeria's adoption of the e-AR system places it in line with global best practices, enhancing its competitiveness in international markets.

(vi) **Risk Management and Control**: By allowing customs to pre-assess goods and issue advance rulings, the e-AR system improves risk management. Customs authorities can allocate resources more effectively, focusing on higher-risk consignments while speeding up the clearance process for compliant traders. This also helps in reducing congestion at ports and enhances overall border security.

(vii) **Supporting E-Government Initiatives**: The implementation of the e-AR system is part of Nigeria's broader e-government initiatives aimed at digitizing public services. It underscores the Nigeria Customs Service's (NCS) commitment to leveraging technology to simplify processes, reduce bureaucracy, and improve the ease of doing business in the country.

1.4 Purpose and objectives of the manual

The e-AR Manual is designed to provide users with a clear and structured guide to navigating the electronic advance ruling system introduced by the Nigeria Customs Service (NCS). Its primary purpose is to simplify and streamline the process of applying for advance rulings, ensuring that traders, importers, exporters, and other stakeholders understand how to effectively access, apply for, and manage their advance rulings through the online platform. The manual serves as a practical tool aimed at:

1.4.1 **Facilitating the Application Process**: It simplifies the submission of advance ruling applications via the electronic platform, guiding users through each step of the process and ensuring they understand the necessary documentation and procedural requirements.

1.4.2 **Educate Stakeholders on the e-AR System**: The manual educates traders, customs agents, and other stakeholders about the key features and advantages of the electronic advance ruling system, highlighting how it streamlines the process compared to traditional paper-based methods. By understanding how the system works, users can maximize its benefits to improve their trade operations.

1.4.3 **Standardize the Application Process:** It ensures consistency by providing a standardized process for submitting applications. This reduces the likelihood of errors, incomplete submissions, and other common issues that can delay the issuance of rulings, thereby promoting efficiency and accuracy in decision-making.

2.0 Legal Framework

The legal framework for advance rulings is derived from both national laws and international agreements that govern customs procedures. The primary legal instruments include:

2.1 Nigeria Customs Service Act 2023

(i) Section (24) of the Nigeria Customs Service Act (NCSA) 2023

(ii) Sections (67) NCSA 2023 - Determination of classification, valuation & origin of imported and exported goods by the declarant.

(iii) Section (68) NCSA 2023 - Determination of classification, valuation & origin of imported and exported goods by the Service.

(iv) Section (77) NCSA 2023 – Right of the Service to investigate value claim.

(v) Section (80) NCSA 2023 – Preferential Rules of Origin.

2.2 **World Customs Organization (WCO) Guidelines:**

(i) Recommendations of the Customs Cooperative Council on the Introduction of Programmes for Binding Pre-entry Classification Information (1996).

(ii) Recommendation on improving Tariff Classification Work and Related Infrastructure (1998).

(iii) Standard 9.9 (Binding Decisions) of the Revised Kyoto Convention (RKC) 2006.

(iv) Technical Guidelines on Advance Rulings for Classification, Origin and Valuation (2018).

2.3 World Trade Organization (WTO) Trade Facilitation Agreement (TFA): Came into effect in 2017, obliges member countries, including Nigeria, to implement advance ruling systems to facilitate trade. Article 3 of the TFA specifically requires customs authorities to provide advance rulings on tariff classification, origin, and other customs-related matters.

3.0 Application Process for e-AR

To ensure the smooth and efficient handling of advance ruling requests, the system is designed to operate in three distinct phases: **Pre-Application**, **Application**, and **Post-Application**. Each phase plays a crucial role in the overall process, ensuring transparency, compliance, and efficiency.

3.1 **Pre-Application Phase:** The Pre-Application phase is a preparatory step where traders and applicants collect the necessary information and resources to submit a complete and accurate advance ruling request. During this phase, applicants familiarize themselves with the requirements, legal framework, and responsibilities involved in the advance ruling process. To explore available resources, users can visit the advance ruling portal at *advanceruling.nigeriatradehub.gov.ng*

3.2 **Application Phase:** The Application phase involves the formal submission of the advance ruling request to the Nigeria Customs Service. This phase marks the beginning of the customs evaluation process, where the submitted information is reviewed, and a binding ruling is issued.

Key Activities in the Application Phase:

(i) Submission of Application: Applicants submit their advance ruling request through the online portal as outlined in 4.0 below. The application should include all relevant information and documentation, such as product descriptions, classification codes, country of origin details, and valuation methods.

(ii) Review by NCS Advance Ruling Team: NCS officials review the application to ensure that all necessary information has been provided. If any information is missing or unclear, the applicant may be contacted to provide additional clarification or documentation.

(iii) Issuance of Ruling: Once the application has been reviewed and evaluated, NCS issue a legally binding advance ruling. The ruling specifies how the goods will be treated in terms of classification, origin, or valuation during import or export.

(iv) Electronic Tracking (in the e-AR system): Applicants who use the e-AR system can track the status of their application in real time, allowing them to monitor the progress of their request and receive notifications once a ruling has been issued.

3.3 **Post-Application Phase:** This follows the issuance of the advance ruling and focuses on the use, validity, and potential review of the ruling. This phase ensures that traders can rely on the ruling when conducting their import or export operations and provides mechanisms for reviewing or appealing the ruling if necessary.

Key Activities in the Post-Application Phase:

Verification: Traders use the advance ruling as part of the documents required for submission on the PAAR platform. The ruling is verified against the e-AR system to ensure its validity.

Validity and Expiry: Advance rulings are valid for a specified period, during which the conditions outlined in the ruling must be adhered to. If there are changes in laws, fiscal policies, trade agreements, or circumstances that affect the ruling, NCS may amend or revoke the ruling.

Therefore, in line with Regulation No. (1) on Procedures for Advance Rulings, the validity of Advance Rulings in Nigeria is as follows:

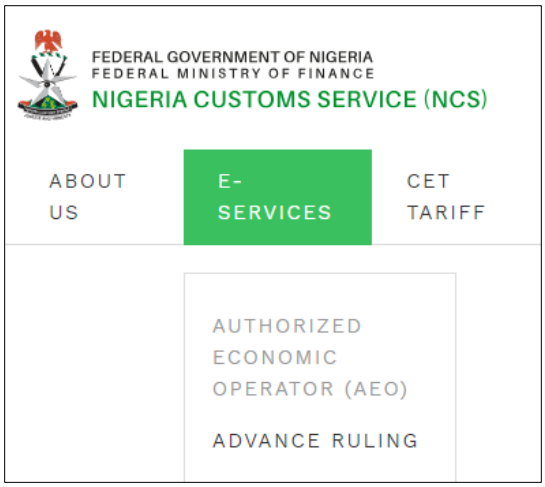
- **Harmonized Systems (HS) Code**: Valid within the World Customs Organization (WCO) HS Review Cycle of five (5) years.
- **Rules of Origin**: Valid for three (years) from the date of issuance according to the Agreement on Rules of Origin.
- **Valuation**: Valid for twelve (12) calendar months from the date of issuance.

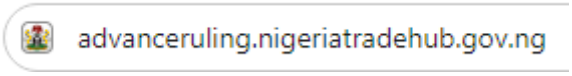
Review and Appeal: If the applicant disagrees with the ruling or if new information becomes available, there may be an option to request a review or file an appeal. The legal framework allows for a transparent process through which traders can challenge the ruling or seek amendments.

SECTION I – APPLICANTS GUIDE

4.0 Submitting an Advance Ruling Application

Before submitting an application, applicants are required to create an account by visiting the URL **advanceruling.nigeriatradehub.gov.ng**, either by typing the address directly into their browser's address bar or by accessing it through the Nigeria Customs Service website at **www.customs.gov.ng** by clicking the "E-Services" tab.





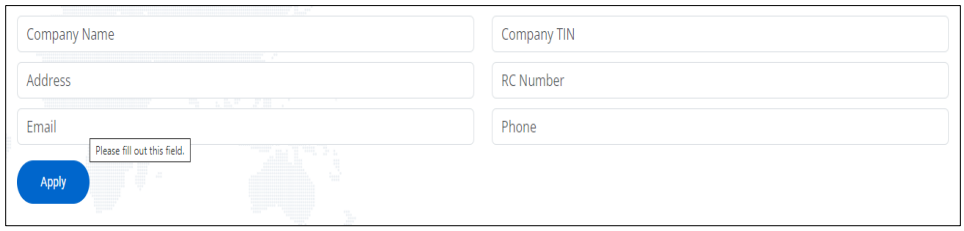
4.1 **Creating an Account**: Before creating an account, users must register and obtain a valid Tax Identification Number (TIN), as required by the Finance Act 2020. Section 10 of the Act mandates that all individuals and businesses have a TIN for business registration, tax filing, and customs activities, enforced by the Federal Inland Revenue Service (FIRS). Below are the steeps to register and account:

(i) At the top right-hand corner of the landing page click the "Get registered" Tab.

(ii) Provide company "Name" and "TIN" and the click on the "Apply" Button

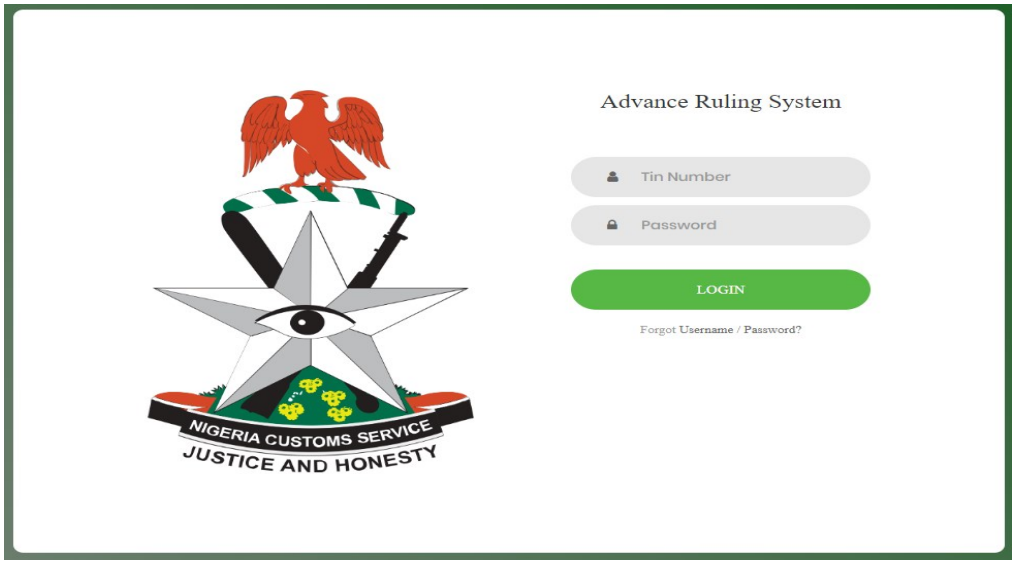
(iii) An account is automatically created, and the login credentials will be sent to the applicant via the email address associated with the registered TIN.

(iv) If the user does not have access to the email address associated with the registered TIN, they can click the "Apply Manually" button. In this case, the user must manually enter the company details and wait for a response from the technical team after the TIN is manually verified.



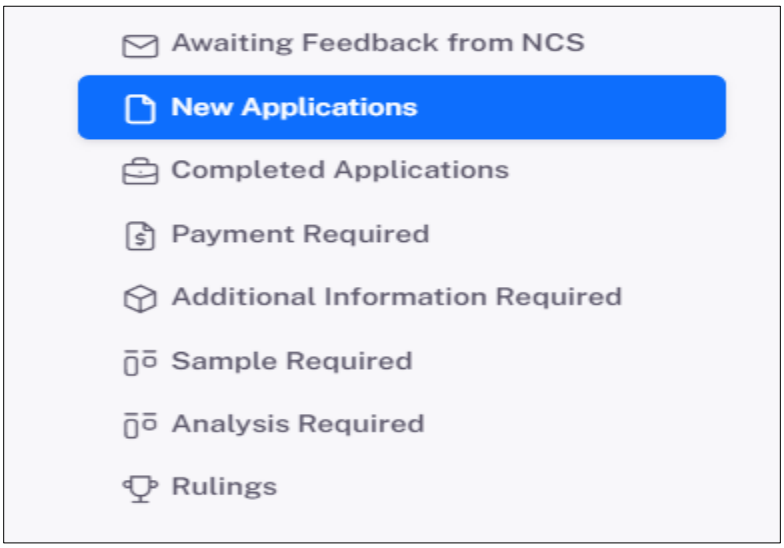
4.2 Starting a New Application:

(i) Log in to the portal using the credentials sent to the registered email address.

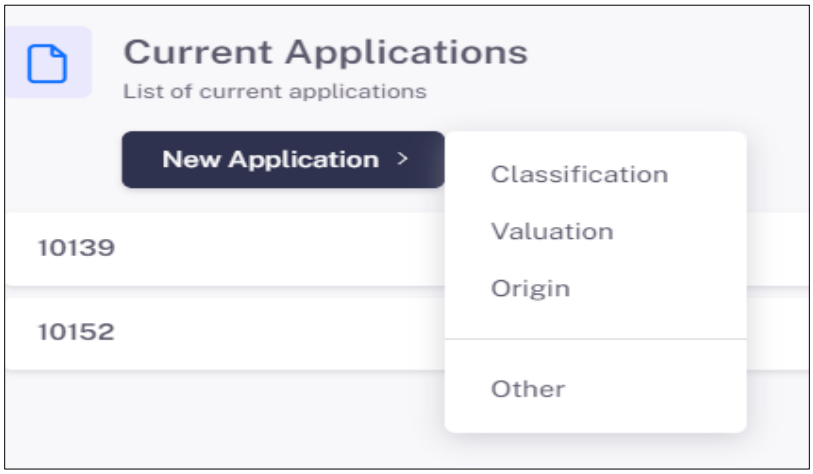


(ii) on the menu bar, click “My Applications”

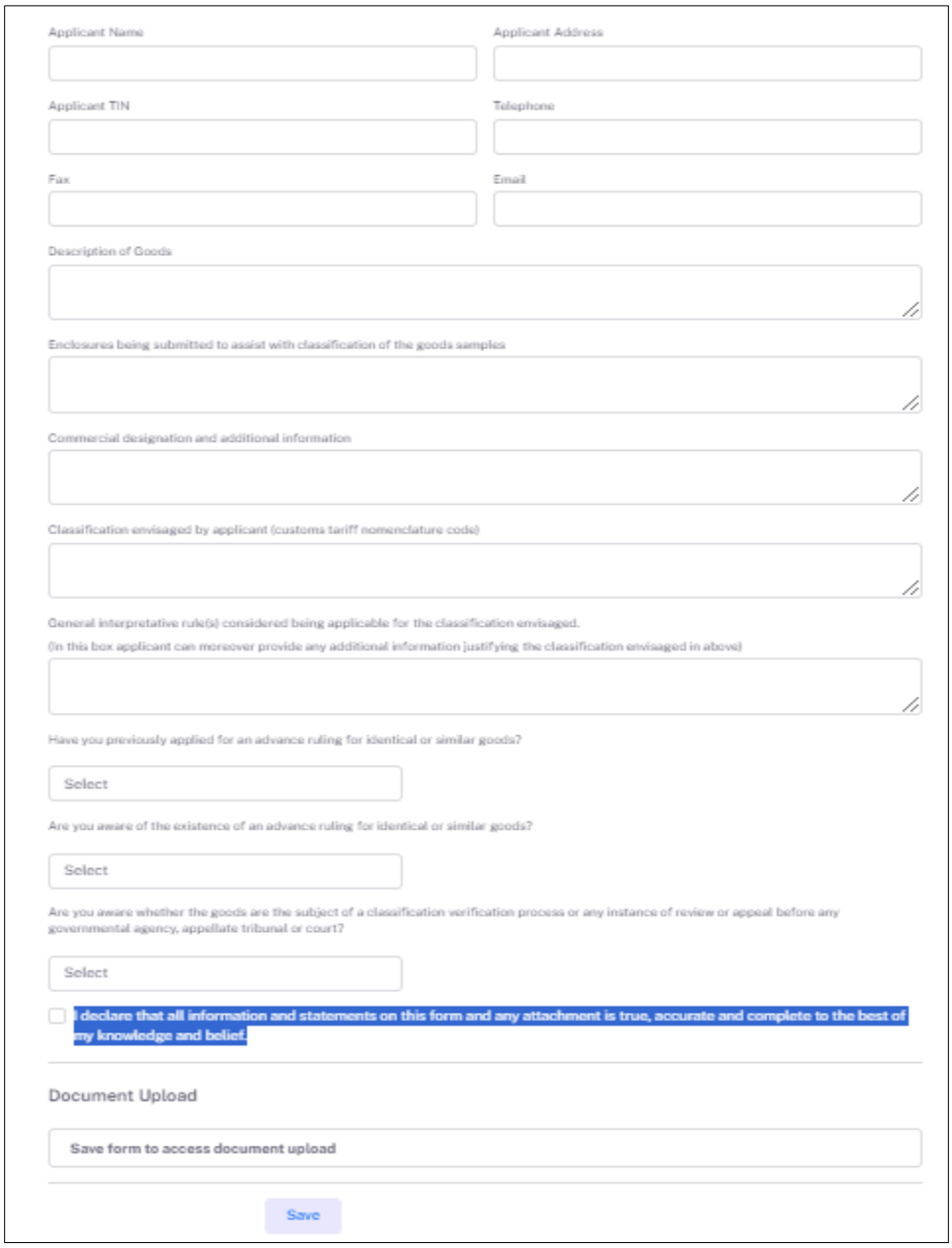
(iv) From the side menu select and click “New Applications”



(V) A "New Application" button will appear. Click on it and choose the type of application you wish to submit, such as Tariff Classification, Valuation, or Origin. Other available rulings include duty exemption, drawback, quotas, fees, or other customs-related matters.



(vi) Fill out the application form with the most accurate data, and check the declaration box. By checking this box, the applicant confirms their commitment to the statement: "I declare that all information and statements on this form, and any attachments, are true, accurate, and complete to the best of my knowledge and belief." Then click the "Save" button. Sample forms are attached as "**Annex A".**


Applicant Name

Applicant Address

Applicant TIN

Telephone

Fax

Email

Description of Goods

Enclosures being submitted to assist with classification of the goods samples

Commercial designation and additional information

Classification envisaged by applicant (customs tariff nomenclature code)

General interpretative rule(s) considered being applicable for the classification envisaged.
(In this box applicant can moreover provide any additional information justifying the classification envisaged in above)

Have you previously applied for an advance ruling for identical or similar goods?

Select

Are you aware of the existence of an advance ruling for identical or similar goods?

Select

Are you aware whether the goods are the subject of a classification verification process or any instance of review or appeal before any governmental agency, appellate tribunal or court?

Select

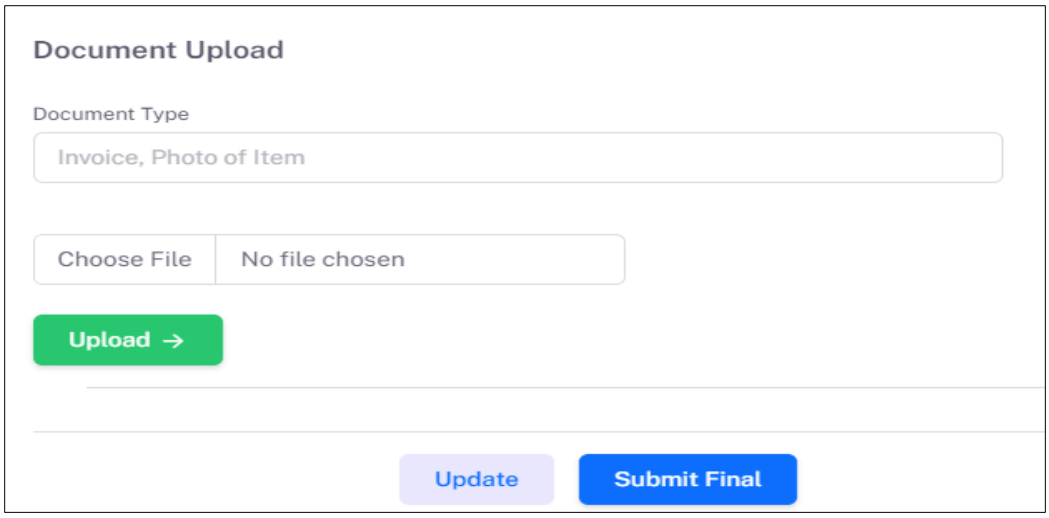
I declare that all information and statements on this form and any attachment is true, accurate and complete to the best of my knowledge and belief.

Document Upload

Save form to access document upload

Save

(viii) **Uploading Documents**: To upload the required documents, the applicant selects the "Document Type" clicks "Choose File" to locate the document on their system, and then clicks the "Upload" button. This process should be repeated for each necessary document to ensure the prompt processing of the application.



(ix) **Final Submission**: Once the upload is complete, the applicant clicks "Submit Final" to submit the application. After submission, no changes can be made unless additional information is requested by the processing officers. Alternatively, the applicant can click the "Update" button to save progress and complete the application later. Please note that clicking "Update" does not submit the application for processing.

(x) **An acknowledgment of the form submission** is automatically sent to the applicant's email. Applicants are advised to monitor their email closely, as it is the primary means of communication regarding advance ruling applications and processing. Additional information may be requested at any time, and the user will be notified via email.

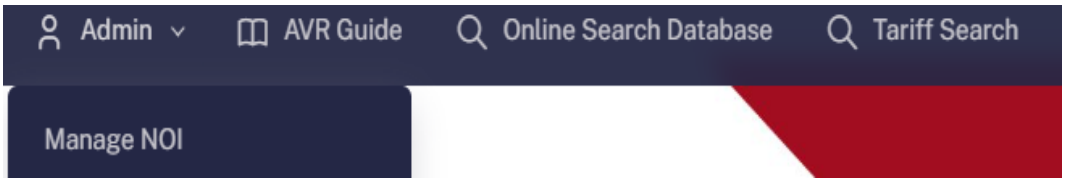
(xi) **Processing and Issuance of Rulings:** In accordance with the provisions of Section 24(2)(b), advance rulings must be issued promptly and no later than 150 calendar days from the receipt of a completed application.

SECTION II – OFFICERS GUIDE

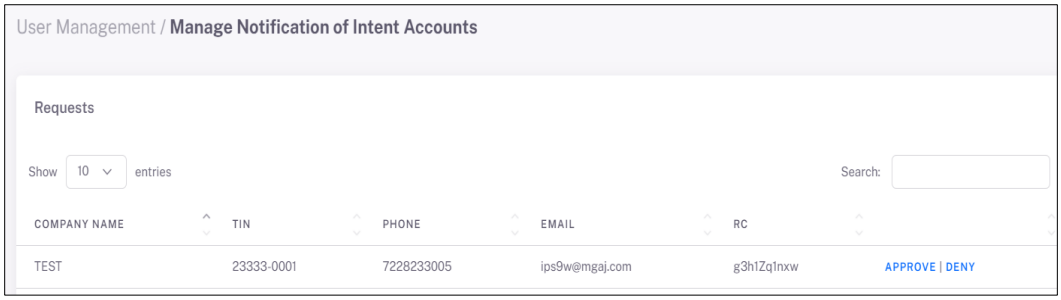
The responsibilities of Nigeria Customs Service (NCS) officers regarding advance rulings are outlined in the Advance Ruling Standard Operating Procedures and the NCS Regulations on Advance Rulings. Below is a guide to help officers navigate the system effectively to fulfill their assigned responsibilities related to advance rulings.

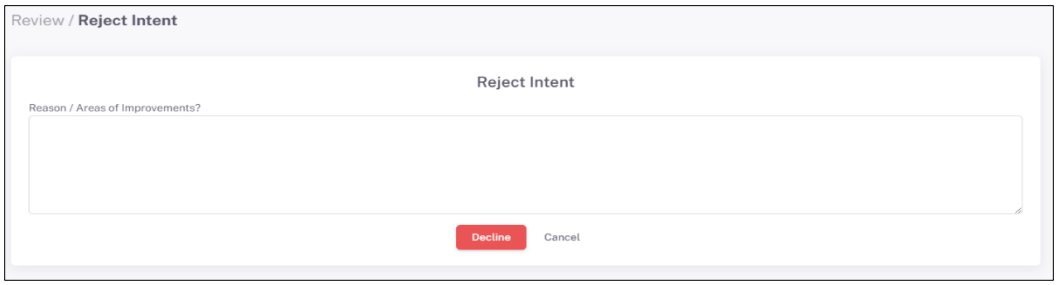
5.1 **Advance Ruling Desk Officer**: Responsible for conducting documentary checks and managing notifications of intent from applicants.

(i) **Managing Notification of Intent**: the officer's login to the portal using the provided credentials and click "Manage NOI" from the "Desk Officer" Tab on the menu bar.

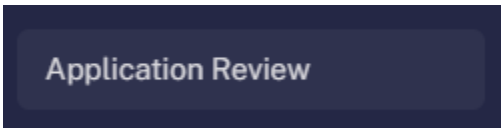


(ii) A list of pending applications will be displayed, and the officer is required to review the credentials and verify the TIN against the NICIS Database. The officer can then click either "Approve" or "Deny." If the application is denied, the officer must provide feedback to the applicant in the pop-up window that appears.



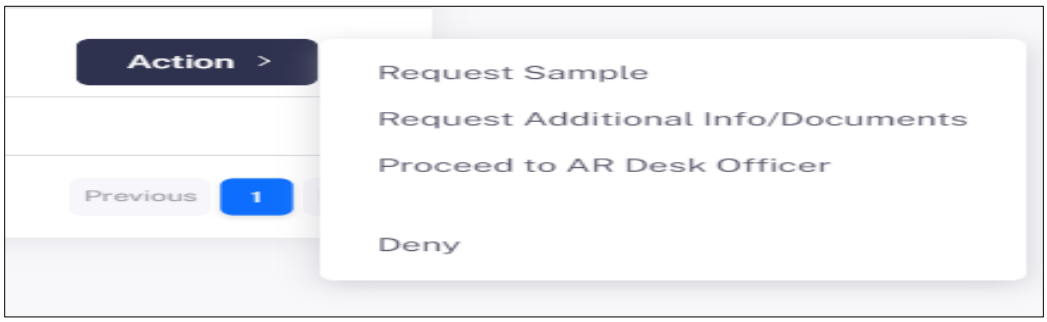


(iv) **Documentary Check:** the officer's login to the portal using the provided credentials and click "Application Review" from the "Desk Officer" on the menu bar.



(v) From the window click view application

(vi) Review the applicants' submissions and make decisions accordingly. The officer may choose to "Request a Sample," "Request Additional Information/Documents," forward the application to the "AR Unit Desk Officer," or "Deny" the application, as appropriate.



5.2 **Advance Ruling Unit Advisors**: play a critical role in the process by reviewing applications and preparing rulings. Their primary responsibilities include:

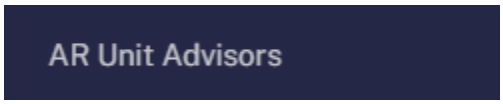
(i) Application Review: Advisors meticulously examine submitted applications for advance rulings to ensure they meet all necessary criteria and requirements. This involves verifying the accuracy of the information provided and ensuring compliance with relevant regulations.

(ii) Ruling Preparation: Based on their review, the advisors prepare detailed rulings that provide clear guidance on tariff classification, valuation, and origin determination. These rulings are essential for traders to make informed decisions regarding their import and export activities.

(iii) Collaboration: Advisors work closely with other departments within the Nigeria Customs Service (NCS) to gather additional information or clarify specific details related to applications. This collaboration helps ensure that rulings are well-informed and accurate.

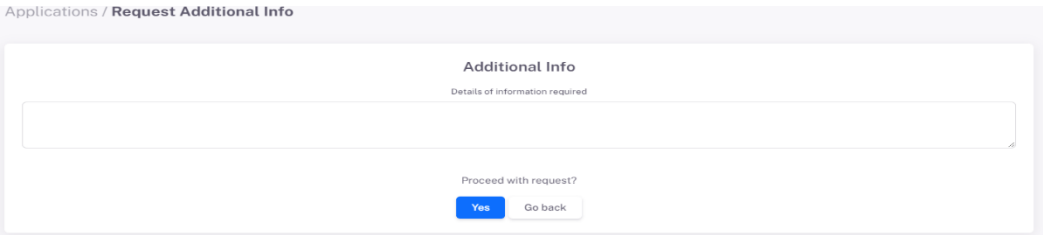
(iv) Feedback Provision: In cases where applications are incomplete or require further information, advisors provide constructive feedback to applicants, guiding them on the necessary steps to address any issues.

(v) **Procedure**: The officer's login to the portal using the provided credentials and click "AR Unit Advisors" from the "AR Unit Advisors" on the menu bar.

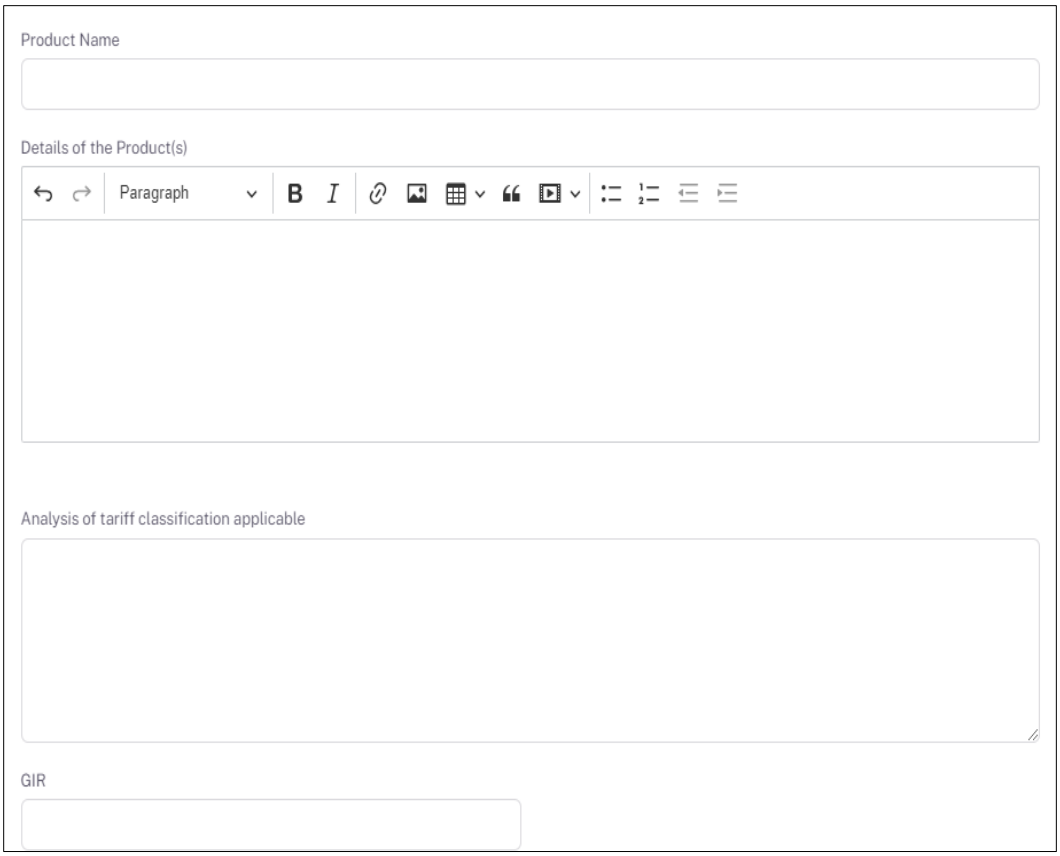


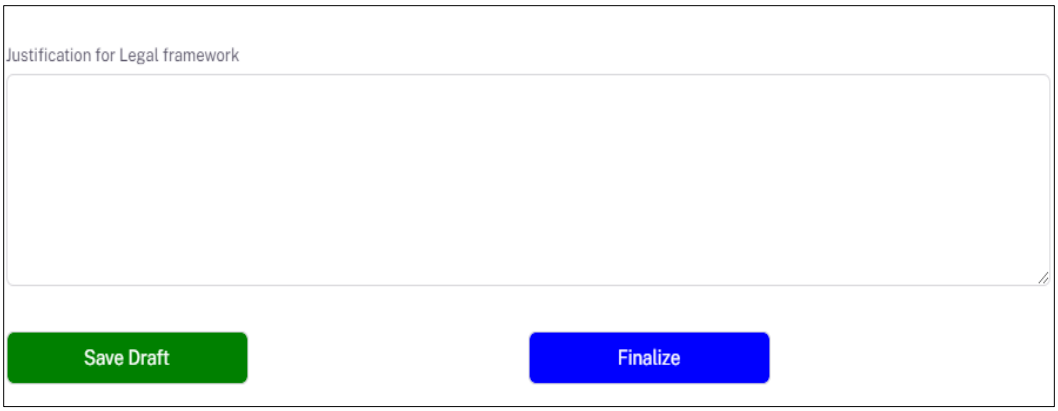
(vi) Click on "View Application" to review the applicants' submissions. If additional information is required, click on "Information Request," or proceed to "Prepare Ruling."

(v) if additional information is required, the officer must provide feedback to the applicant in the pop-up window that appears.



(vii) **Preparing a Ruling:** To prepare a ruling, the officer clicks on the prepare a ruling tab and provide the expert technical information about the product that is applied for.





(viii) Finalize the ruling by clicking the "Finalize" button. The ruling will then be forwarded to the Unit Comptroller for review

5.3 **Advance Ruling Unit Comptroller**: Unit Comptrollers play a pivotal role in overseeing the advance ruling process within the Nigeria Customs Service (NCS). Their key responsibilities include:

AR CC

(i) **Review and Approval**: Unit Comptrollers review the finalized advance rulings prepared by the Advance Ruling Unit Advisors. They ensure that the rulings are accurate, compliant with customs regulations, and based on sound legal and procedural frameworks.

(ii) **Quality Assurance**: They are responsible for maintaining the quality and consistency of rulings. This involves cross-checking the information, verifying that all required steps were followed, and ensuring the ruling aligns with applicable laws and guidelines.

(iii) **Decision Authority**: Comptrollers hold the authority to approve or reject the prepared ruling. If any issues or discrepancies are identified, they may return the ruling for further review or request additional information before making a final decision.

VIEW APPLICATION | VIEW RULING | PROCEED TO DCG BACK TO ADVISORS

(iv) **Supervision and Coordination**: Unit Comptrollers supervise the activities of the Advance Ruling Unit Advisors, ensuring that officers are following proper procedures and timelines. They coordinate the workflow to ensure rulings are processed efficiently and in a timely manner.

(vi) **Legal Compliance**: They ensure that all rulings are in full compliance with the legal framework governing advance rulings, including national and international customs laws, and maintain accountability for the rulings issued under their supervision.

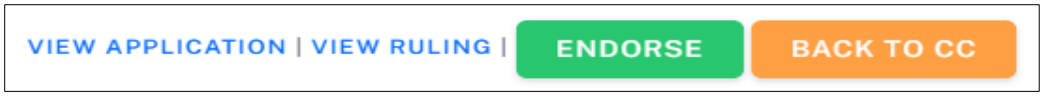
(vii) The Unit Comptroller forward the completed ruling to the DCG for final approval and issuance.

5.4 **Deputy Comptroller-General (T&T):** The Deputy Comptroller General (DCG) of Tariff & Trade (T&T) holds a key strategic role in the advance ruling process, this includes:

(i) Strategic Oversight: The DCG T&T provides overall oversight and guidance for the advance ruling system, ensuring it aligns with national trade policies and customs regulations and ensure that the system is operating efficiently and effectively in facilitating trade.

(ii) Policy Formulation: The DCG T&T is responsible for the formulation and implementation of policies related to tariff classification, customs valuation, and origin determination.

(iii) Final Decision Authority: The DCG T&T have the final decision-making authority on all advance rulings.



(iv) Coordination with Stakeholders: The DCG T&T liaises with other government agencies, trade organizations, and international bodies to ensure the advance ruling process aligns with global trade practices and complies with international trade agreements.

(v) Monitoring and Evaluation: The DCG T&T monitors the performance of the advance ruling system, ensuring timely issuance of rulings and compliance with the established timelines, such as the 150-day maximum limit.

5.5 **Advance Ruling Desk Reporting Officer (at the Commands)**: The Desk Reporting Officer's involvement post-issuance is critical for ensuring that the benefits of the advance ruling—such as faster clearance, certainty in customs duties, and reduced disputes—are realized. By providing oversight, guidance, and technical support during the clearance process, the officer helps maintain consistency in customs procedures, fosters trust with traders, and enhances trade facilitation efforts. This post-issuance role is especially important for:

- **Preventing Misapplication:** Ensuring that customs officers apply the ruling as intended, avoiding delays or penalties.
- **Maintaining Trader Confidence:** Traders are more likely to utilize advance rulings if they are confident that the rulings will be applied uniformly and consistently across all customs commands.

Key Responsibilities (Post-Issuance):

(a) **Monitoring Implementation of Advance Rulings:**

- The officer ensures that customs commands and officers correctly apply the issued advance rulings during the clearance process. This includes overseeing the proper classification, valuation, or origin determination of goods in line with the ruling.
- They liaise with command officers to address any discrepancies or confusion about how the ruling should be applied.

(b) **Providing Technical Support and Guidance:**

- The reporting officer acts as a resource for customs officers at the command level, offering guidance on the proper utilization of the advance rulings in specific cases.
- They provide technical support to resolve challenges that may arise, ensuring that the ruling is accurately interpreted and enforced during cargo inspections and customs processing.

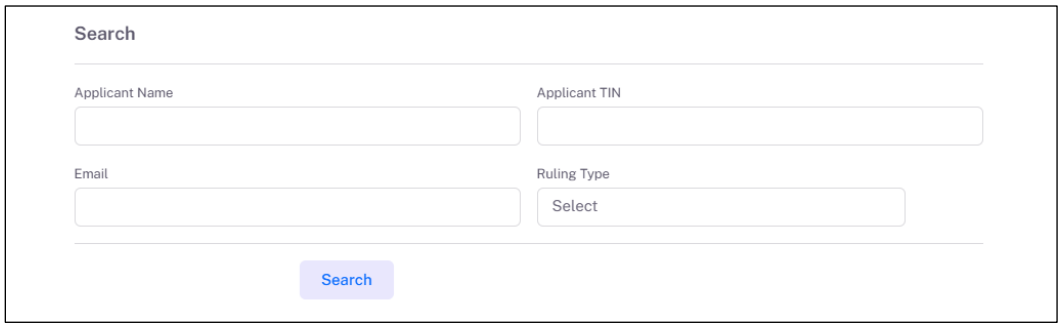
(c) **Handling Appeals and Disputes:**

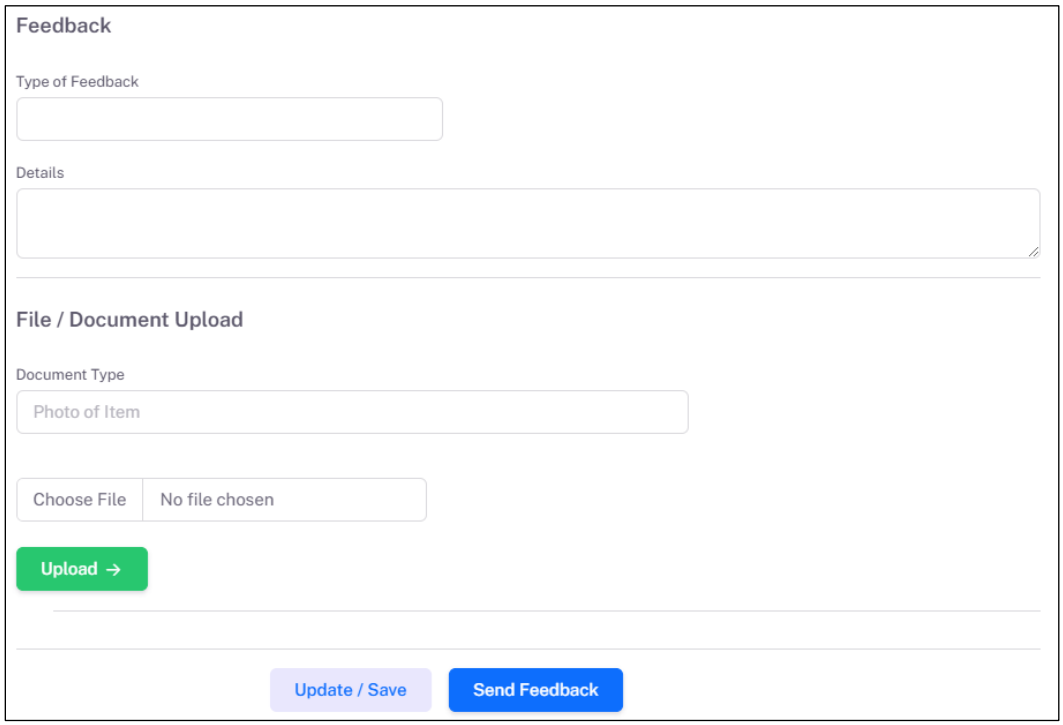
- If there are disagreements or disputes regarding the application of an advance ruling during clearance, the Advance Ruling Desk Reporting Officer helps resolve these issues by providing clarification on the original decision.
- They may also be involved in handling appeals submitted by traders if they believe the ruling is not being correctly applied, ensuring that such disputes are resolved efficiently and fairly.

(d) **Reporting and Feedback:**

(i) The reporting officer compiles data on the utilization of advance rulings at the command level, tracking how effectively they are being implemented. This information is crucial for evaluating the success of the rulings in facilitating trade and ensuring compliance.

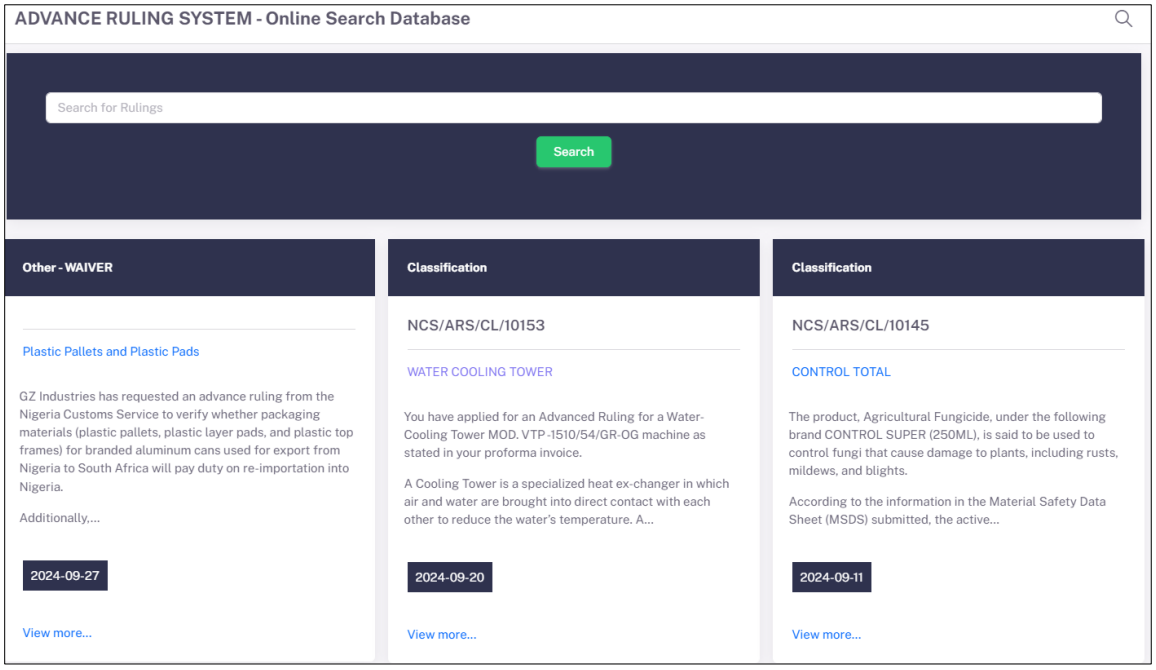
(ii) Feedback from customs officers and traders regarding the rulings' application is collected, and any issues identified are communicated back to the advance ruling unit for review or revision if needed.





6.0 Online Search Database

The Advance Ruling Online Search Database is a vital tool designed to enhance transparency and access to information for traders, customs authorities, and other stakeholders involved in international trade. This database allows users to search and retrieve the non-confidential information on previously issued advance rulings, providing valuable insights into decisions related to tariff classification, origin determination, and customs valuation.



6.1 Key Features

6.1.1 **Search Functionality**: Users can search for rulings based on specific criteria such as product description, tariff heading, ruling reference number, or date of issuance. This functionality allows traders to find relevant rulings that may apply to their goods, helping them make informed decisions before submitting their applications.

6.1.2 **Transparency and Consistency**: By providing access to past rulings, the online database promotes transparency in customs decision-making.

It ensures consistency in the application of customs rules, reducing the likelihood of disputes or discrepancies in future rulings.

6.1.3 **Guidance for Applicants**: The database serves as a reference point for traders and customs agents, offering guidance on how similar goods have been classified, valued, or assessed for origin in the past. This helps applicants understand the standards and requirements for their own submissions, improving the accuracy and completeness of their applications.

6.1.4 **Real-Time Updates**: The database is regularly updated with new rulings, ensuring that users have access to the most current information. As rulings are issued, they are added to the system, providing a comprehensive and up-to-date resource for the trade community.

6.1.5 **Legal Certainty**: Advance rulings found in the database are legally binding for a specific period, ensuring that traders have a clear understanding of how their goods will be treated by customs authorities. This certainty helps businesses plan their operations, pricing, and supply chain logistics with confidence.

6.1.6 **User-Friendly Interface**: The database is designed to be easy to use, with an intuitive interface that allows users to quickly find and download rulings. Advanced search filters enable users to narrow down their search results based on specific criteria, saving time and improving efficiency.

6.2 Benefits of the Advance Ruling Online Search Database

6.2.1 **Risk Reduction**: By reviewing previous rulings, traders can anticipate potential risks, such as tariff disputes or valuation discrepancies, and adjust their trade practices accordingly.

6.2.2 **Efficiency**: Customs officers and stakeholders can access a centralized repository of rulings, streamlining the decision-making process and minimizing the need for repetitive inquiries or clarifications.

6.2.3 **Enhanced Compliance**: The database helps ensure that traders comply with customs regulations by providing clear and accessible information on how customs decisions are made, promoting adherence to legal requirements.

For more information, please visit www.customs.gov.ng (e-services), advanceruling.nigeriatradehub.gov.ng

Developed by: CSC LE Utubor, ASC II BA Ghali and ASC II P Orafu